

Manufacturing:

My Vision Is To POSITION ANDHRA PRADESH On The WORLD MAP For ELECTRONICS Manufacturing

Andhra Pradesh aims to attract investments to the tune of US\$ 5 billion in the ESDM sector and create employment for 400,000 people by 2020. N. Chandrababu Naidu, chief minister of Andhra Pradesh, shared his vision to develop the electronics industry into an important growth engine for the entire state, in a conversation with Sudeshna Das, senior executive editor, *Electronics Bazaar*. He aims to do this through effective use of the state's talent pool, continuous skills enhancement, by promoting innovation and future technologies, as well as by creation of excellent infrastructure

Q. What is your vision for the electronic system design and manufacturing (ESDM) industry in the state?

A. India is one of the largest consumers of electronics goods. Demand for electronics hardware in the country is projected to touch US\$ 400 billion by 2020. This will create an import bill of US\$ 296 billion (on a business-as-usual basis)—greater than India's projected oil import bill at the time.

We are now on the verge of an electronics manufacturing revolution

in India. The sector has been identified as one of the focus sectors under Make in India programme.

My target is to attract investments to the tune of US\$ 5 billion and create employment for 400,000 people in the ESDM sector by 2020, in Andhra Pradesh.

My vision is to position Andhra Pradesh on the world map for electronics manufacturing, similar to how the erstwhile state was firmly placed on the world information technology (IT) map.

Q. What unique strengths of the state will investors in the ESDM sector and in electronics design, specifically, find attractive?

A. Ever since my government took over, we have given priority to infrastructure and industrial growth. Apart from leveraging our long coastline through port-led development, we have focused on setting the platform for manufacturing through 24x7 quality power supply, developing industrial land banks and promoting our skilled resource base.

Andhra Pradesh is the first state in south India to offer 24x7 power to industry. We have identified an industrial land bank of 300,000

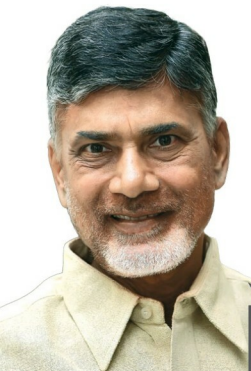
acres, and are targeting to add another 700,000 acres. We are planning to set up 20 electronics manufacturing clusters (EMCs) across the state.

The state houses 368 engineering colleges and 78 industrial training institutes (ITIs). We also have upcoming institutes of excellence such as IIT at Tirupati, IIIT at Sri City and NIT at Tadepalligudem. We have also set up Andhra Pradesh State Skill Development Corp. (APSSDC), and are partnering with private companies such as Siemens and Mitsubishi to set up skills development centres in the state. We are working on aligning the curriculum to industry needs.

We also have a very attractive electronics policy with best-in-class fiscal incentives that provide subsidies in areas such as land, power, skills development and taxes. Our policy complements and tops-up the incentives provided by the government of India, which makes it an extremely compelling proposition for investors in the sector. We have also established a new agency—Andhra Pradesh Electronics & IT Agency—that offers a single-window facility to ESDM companies.

Q. What is the Andhra Pradesh government's strategy to achieve the goals stated in Andhra Pradesh Electronics Policy 2014-2020?

A. Our strategy to make Andhra Pradesh a global electronics manu-



N. CHANDRABABU NAIDU
CHIEF MINISTER
OF ANDHRA PRADESH